

palmsource™

PalmSource Seminar Series
Build Tomorrow ▸▸▸ Today

Presented By:
Larry Berkin
Director
Developer Marketing

palm™
POWERED

Publishing Palm Powered Software: What Works, What Doesn't.

A in-depth look at the current and future state of distribution channels for Palm OS software.

Developer Marketing Explained

WHAT DO WE DO?

- Provide Marketing & Co-Marketing Programs
- Market Development
- Promote Developer Community



FOR WHO?

- Registered Palm OS® Developers

HOW?

- Online, Print, Events, Channel
- EXAMPLES: Developer Newsletter, Conferences, Press Events. PUGs Powered Up Awards; Application Directory on www.palmsource.com

WHY?

Enable the worldwide Palm OS® developer community to drive development of high-quality applications that evolve the Palm Economy

Panelists:



Clint Patterson
VP Product Marketing
www.handango.com



Doug Edwards
VP Marketing
www.handmark.com



Gary Kanazawa
VP Prod. Development
www.mdigitalm.com



Ted Ladd
VP Sales
www.palmgear.com



Byron Connell
SVP Marketing
www.tapwave.com

Goals of Panel:

1) **Give attendees insight into current market drivers for Palm OS software**

2) **Expose opportunities in the market and to successfully engage with panel companies**

3) **Better understand what works, and what needs work in publishing Palm OS software**

Current Distribution Channels available:

1) **Online (Purchase & Download from Desktop)**
   - Developer Website
   - Software Portal
2) **Retail (Physical Stores)**
   - Developer Presence in-Channel
   - Via Publisher Presence in-Channel
   - In-Box Bundle with Device
3) **Wirelessly Over-The-Air (OTA)**
   - On Device, via Wireless Carrier Network
   - On Device, via Wireless Software Portal
   - On Device, via in-store Beaming Stations
4) **Peer to Peer**
   - Device to Device sharing of demos

Palm OS: 3rd Party Product Availability

Types of Content:

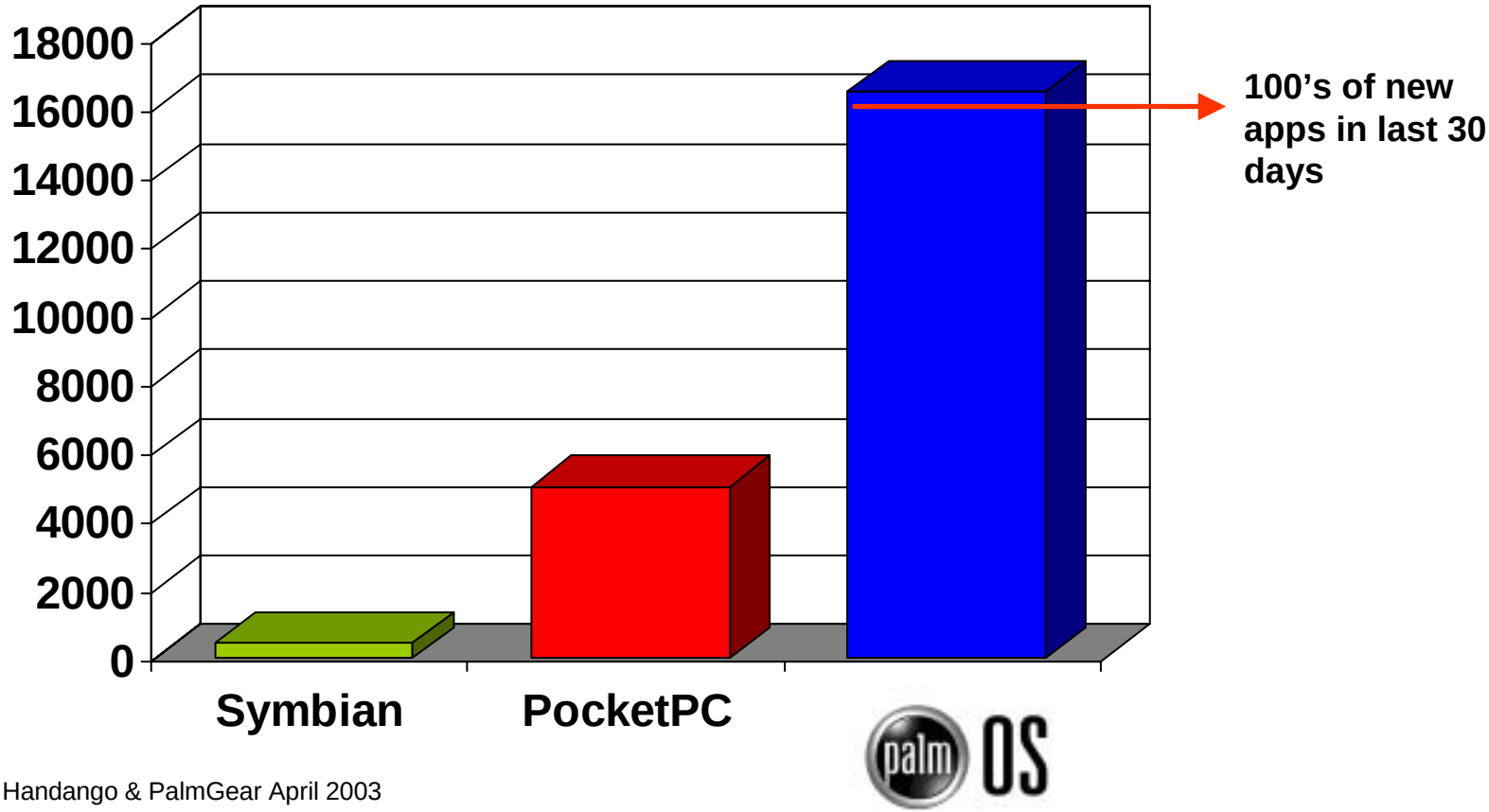
- Application Software – 17,500+ titles
  - Commercial
  - Shareware
  - Freeware
- eBooks – 20,000+ titles
- Documents – 20,000+ lists, docs and dictionaries
- AudioBooks – 15,000+ audiobooks

Delivered via different Media Types: Physical and Digital

- CD ROM
- SD/MMC cards
- Electronic Software Download (ESD)

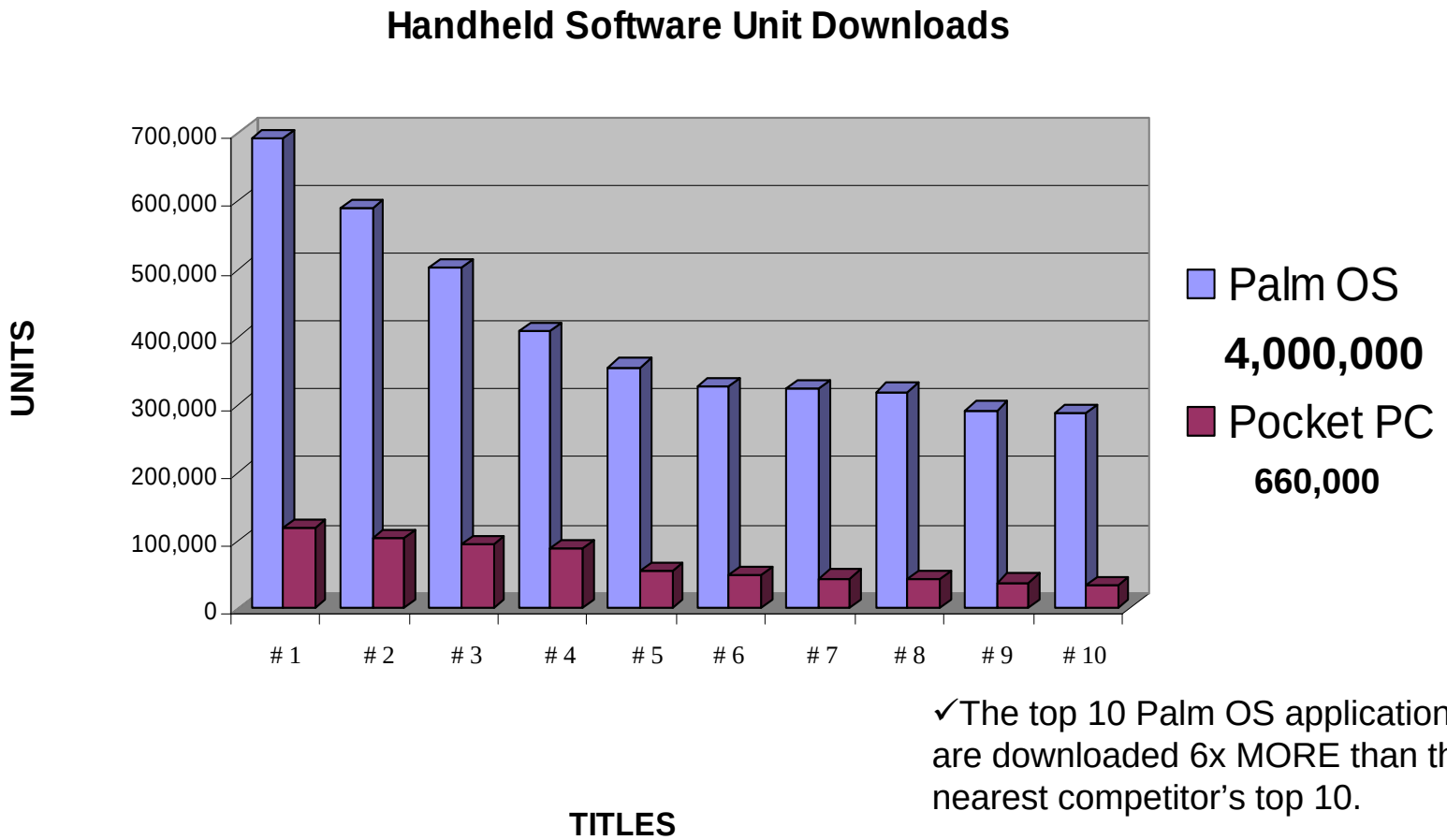
Palm OS Developer Base

Palm OS has 3X as many 3rd party Applications.



Source: Handango & PalmGear April 2003

Market Data: Palm OS The Volume Platform



Source: Handango & PalmGear April 2003

✓The top 10 Palm OS applications are downloaded 6x MORE than the nearest competitor's top 10.

✓ Top 50 apps on PalmGear *alone* add up to **11+ Million downloads**

'02 PDA Retail Software Sales* (U.S.)

$24,000,000 Revenue

940,000 Units Sold

8,000 U.S. Retailers

400 Titles

100 Publishers

$25.97 Average Selling Price

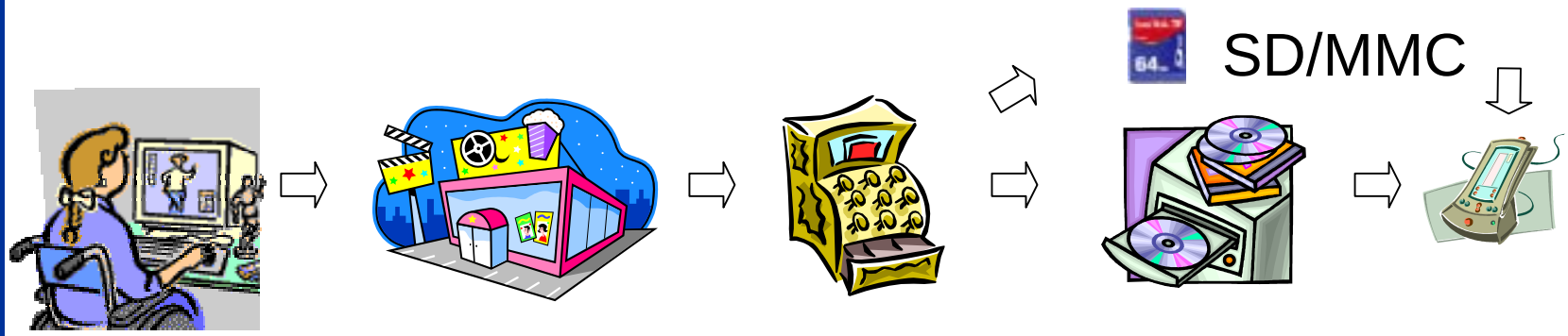
NPD reports actual retail sales revenue as reported by 80% of the nations leading software retailers and includes online packaged software sales by those retailers.

(Palm OS, WinCE, PocketPC)

*Estimates based on Source: NPD 2003

Retail Software Distribution: Revenue Model

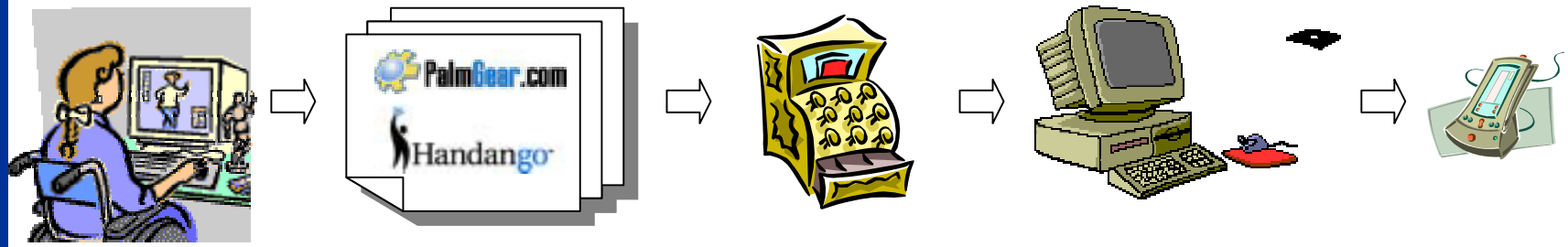
PRE OR POST DEVICE PURCHASE



	REV SPLIT	REVENUE	INCOME
RETAILER	**30%**	**$29.99**	**$9**
DISTRIBUTOR	**30%**	**$20.00**	**$9**
PUBLISHER	**25%**	**$11.00**	**$7.50**
DEVELOPER	**15%**	**$4.50**	**$4.50 - X**

Online Software Distribution: Revenue Model

POST DEVICE PURCHASE



User → Online Store → Purchase → Download & Install → HotSync

	REV SPLIT	REVENUE	INCOME
DISTRIBUTOR	**25-50%**	**$29.99**	**$7.50 to $15**
DEVELOPER	**50-75%**	**$15 to $22.50**	**$17.99 - X**

Panel Discussion:



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